Schedule OBF Sheet 1
ON-BILL FINANCING PROGRAM

APPLICABILITY

This Schedule is applicable to eligible Bundled Service, Community Choice Aggregation Service, and Direct Access Customers receiving service under a General Service rate schedule in which the customer's monthly Maximum Demand is 500 kW or less. Schedule OBF is an On-Bill Financing (OBF) loan program that provides zero percent interest financing to qualified customers towards the purchase and installation of new energy efficient equipment at the customer's facility. Qualified customers are those customers who meet specified credit criteria and comply with OBF program requirements in accordance with this Schedule and applicable OBF agreement(s). Only one OBF program loan is permitted per customer account. The OBF program will have an initial budget of $2 million in loans and incentives that will be offered during 2006 through 2008. If customer demand exceeds the initial budget, SCE may choose to increase the budget in accordance with the Commission-approved 2006-08 fundshifting guidelines.

Customers whose monthly Maximum Demand, in the opinion of SCE, is expected to exceed 500 kW or has exceeded 500 kW for any three months during the preceding 12 months, are ineligible for service under this Schedule. In addition, customers participating in SCE's Level Pay Plan (LPP), or Electronic Data Interchange (EDI), are ineligible for service under this Schedule.

TERRITORY

Within the entire territory served by SCE.

RATES

All charges and provisions of the customer's otherwise applicable tariffs shall apply. In addition, a fixed monthly loan payment amount due, which is approximately equal to the average estimated amount of the monthly energy savings of the newly installed energy efficient equipment, will appear as a line item on the customer's bill.

SPECIAL CONDITIONS

1. Loan Agreement. The customer must sign an On-Bill Financing Program Loan Agreement, Form 14-778, which specifies all loan repayment obligations and other applicable program requirements.

2. Credit Requirements. Customer must have good credit standing as determined by SCE.

(Continued)

WITHDRAWN

Schedule OBF
ON-BILL FINANCING PROGRAM

SPECIAL CONDITIONS (Continued)

1. Loan Parameters.

   a. Loan Amount: Loans will be a minimum of $5,000 and a maximum amount to be determined by SCE at the time of the On-Bill Financing Program Loan Agreement initiation.

   b. Interest Rate and Fees: Loans will be offered at a 0% annual percentage rate (APR) and no fees will be charged.

   c. Loan Term: Loan terms may be up to 5 years and will be established by SCE at the time of the On-Bill Financing Program Loan Agreement initiation.

4. Billing And Collection

   a. General Loan Obligation: Customers are responsible for repaying all loan obligations in accordance with the terms and conditions of the On-Bill Financing Program Loan Agreement.

   b. Monthly Payment: A fixed monthly loan payment amount due, approximately equal to the average estimated amount of the monthly energy savings of the newly installed energy efficient equipment, will appear as a line item on the customer's bill. The monthly payment amount will be established at the time of the On-Bill Financing Program Loan Agreement initiation.

   c. Partial Payments: In instances of customers making partial payments, the partial payment will be applied in equal proportion to the energy charges and the loan obligation, and the customer may be considered in default of both the energy bill and the loan obligation.

   d. Discontinuance: The customer's loan obligation shall be subject to the discontinuance provisions of SCE's Rule 11, Discontinuance and Restoration of Service, Section B, Nonpayment of Bills or Summary Bills.

   e. Late Payment: The customer's loan obligation will not be subject to the late payment charge provision of SCE's Rule 9, Rendering and Payment of Bills.

   f. Accelerated Payment: Payment of the loan obligation can be paid monthly or in one lump sum but accelerated payments will not be accepted.

WITHDRAWN